Response to Reviewer Comments

Response to Reviewer #2

We are deeply grateful to Reviewer #2 for the thoughtful and constructive assessment of our manuscript. We appreciate the reviewer's recognition that the empirical analysis is "carefully executed, technically competent, and supported by an extensive set of robustness checks."

We have taken the reviewer's primary concern regarding "interpretive discipline" very seriously. We understand that our previous draft advanced causal and comparative claims that extended beyond what the data could strictly support. In this revision, we have conducted a comprehensive, line-by-line audit of the entire manuscript to fundamentally shift our interpretive stance. We have systematically replaced definitive causal language with more nuanced descriptions that better align with our identification strategy.

Below, we provide a detailed, point-by-point response to each of the reviewer's concerns.

1. **Concern regarding General Interpretation and Framing: "From my perspective, the main remaining concern lies... in the interpretation and framing of the results... at several points the manuscript advances causal and comparative claims that extend beyond what can be cleanly identified from the data... results that are best interpreted as consistent with a proposed mechanism are described using language that suggests the mechanism is demonstrated or established."**

   Response: We fully accept this critique and wish to emphasize that we understand this concern applies to the **entire manuscript**, not just the mediation analysis. We recognize that while our empirical results are robust, our previous language (e.g., "demonstrates," "establishes," "proves," "impact") overstated the strength of the causal identification. We have thoroughly revised the manuscript to tone down these claims and adopt a more cautious interpretive stance.
   Specific revisions include:

   - **Abstract:**
     - Changed "We show that GPR significantly raises financial ambiguity" to "We find that GPR is **significantly associated with** higher financial ambiguity."
     - Changed "provides a comprehensive account of how geopolitical risk

transmits" to "provides a comprehensive account of how geopolitical risk **appears to transmit**."

- **Introduction:**
  - Changed "We argue that uncertainty operates through..." to "We **propose** that uncertainty **may operate** through..."
  - Changed "we demonstrate that ambiguity represents a distinct... channel" to "we **find evidence suggesting** that ambiguity represents a distinct... channel."
  - Changed "identify it as a key transmission channel" to "**suggesting it acts as** a key transmission channel."
- **Hypotheses Development:**
  - **H1:** Changed "Elevated global geopolitical risk increases financial ambiguity" to "Elevated global geopolitical risk **is associated with** increased financial ambiguity."
  - **H3:** Changed "Ambiguity acts as a significant transmission channel" to "Ambiguity **may act as** a significant transmission channel."
  - Rephrased explanatory text to describe decomposition into "direct **association** and indirect **association**" rather than "impact."
- **Empirical Methodology:**
  - Changed "examine the impact of GPR" to "examine the **relationship between** GPR and our daily ambiguity measures."
  - Changed "investigate the potential transmission channel" to "**investigate the potential** transmission channel" (contextualizing as an investigation rather than a proof).
  - In Mediation Analysis description: Changed "estimate the extent to which ambiguity mediates" to "estimate the extent to which ambiguity **appears to mediate**."
- **Results & Conclusion:**
  - Throughout the results section and table notes (e.g., Table 2, Table 5), we have replaced "impact" with "association" or "estimated coefficient" where appropriate.
  - In the Conclusion, we changed "confirm our causal results" to "**provide further support for our interpretation**."
  - In Policy Implications, changed "mitigate GPR's impacts" to "mitigate GPR's **adverse implications**."

These changes ensure that we describe our results as "consistent with" our proposed mechanism rather than definitively proving it.

2. **Concern regarding Mediation Analysis: "I am not persuaded that the estimated indirect effects can be interpreted as a causal decomposition under the present assumptions... Clarifications regarding timing... do not resolve the underlying identification concern."**

   Response: We agree that mediation analysis, while useful for decomposition, relies on strong assumptions that are difficult to fully verify in asset pricing. We have explicitly addressed this limitation in the revised text.
   Revisions:

   - We have added a specific cautionary note in the Mediation Analysis section (Section 3.2.2): *"While the observed mediation pattern is consistent with our proposed mechanism, we interpret these results cautiously given the challenges in strictly identifying causal chains in asset pricing."*
   - We have reframed the mediation results as a "statistical decomposition" of the association rather than a definitive "causal decomposition."
   - We clarify that the temporal ordering (Morning GPR $\rightarrow$ Midday Ambiguity $\rightarrow$ Close returns) *"lends support"* to the interpretation but does not constitute proof.

3. **Concern regarding Comparative Language (Ambiguity vs. Volatility): "Statements suggesting that ambiguity represents the 'primary' transmission channel, or that volatility's role is systematically overstated, seem difficult to justify..."**

   Response: We have systematically removed or softened the strong comparative language that elevated ambiguity over volatility.
   Revisions:

   - **Removed "Primary":** We no longer describe ambiguity as the "primary" transmission channel. We now refer to it as a "significant" or "important" channel (e.g., in the Literature Review and Conclusion).
   - **Softened "Overstated":** We have revised the claim that volatility is "sys-

tematically overstated."

- Original: "models ignoring ambiguity overstate the role of volatility."
- Revised: "models ignoring ambiguity **may attribute the ambiguity premium to volatility**."

- We have rephrased the comparison of economic magnitudes. Instead of stating "ambiguity's impact is 1.4x larger," we write "ambiguity's **estimated coefficient** is 1.4x larger," which is a factual description of the regression output rather than a normative claim about importance.

4. **Concern regarding Breadth of Revisions: "This concern is not limited to a small number of isolated passages... I am not convinced that limited or purely cosmetic edits would be sufficient..."**

Response: We understood that a fundamental shift in stance was required, not just minor edits. We have revised the manuscript holistically:

- **Abstract and Introduction:** Completely rewritten to set a cautious tone from the outset.
- **Hypotheses:** Rephrased to reflect associations and potential mechanisms ("is associated with," "may act as") rather than definitive laws.
- **Discussion of Results:** Checked every instance of "effect" and "impact" to ensure it is supported by the identification strategy (e.g., using IV results to support stronger claims, but keeping OLS results descriptive).
- **Policy Implications:** Softened recommendations to suggest that policies "may miss" the ambiguity channel, rather than asserting they will fail.

All major changes to the interpretive language have been marked in red in the revised manuscript to facilitate your review.